Vancouver Public Schools faces cascading crises heading into 2026-27

Vancouver Public Schools (District #37) confronts a $20.15 million projected deficit for fiscal year 2026-27 (The Columbian) **while simultaneously navigating a federal Title IX investigation, a $4.8 million sexual abuse settlement,** (The Columbian) (The Columbian) **teacher walkouts, and a leadership transition — all against a backdrop of three consecutive years of deepening financial distress.** The district, serving roughly 22,000 students (NW Labor Press) in Clark County, Washington, (Vancouver Public Schools) has exhausted nearly all reserves, borrowed from the county treasurer, and received OSPI financial warnings for two straight years, yet it has not been placed under formal state oversight. Incoming superintendent Dr. Ricardo "Rocky" Torres-Morales (Vancouver Public Schools) (The Columbian) inherits a district in structural crisis when he starts July 1, (The Columbian) 2026. Legislative wins on special education funding and levy authority provide modest relief but fall far short of closing the gap.

Three years of emergency borrowing have depleted every financial cushion

The fiscal trajectory at VPS is stark. In March 2024, the board approved **$35 million in budget cuts and eliminated 262 positions** (The Columbian) — the largest reduction in recent district memory. (The Columbian) That bought one year of breathing room. The 2025-26 budget, adopted in August 2025, avoided layoffs but did so by drawing the general fund balance down to a projected **$195,180** by year's end — functionally zero for a district of this size. (The Columbian) (Vancouver Public Schools)

When cash flow tightened in fall 2025, VPS requested a **$21.4 million emergency apportionment advance** (The Columbian) from OSPI — the largest such request the agency has ever received from any Washington school district. OSPI approved only **$8.7 million**, (The Columbian) (The Columbian) a sharp departure from prior years when requests of $15.5 million (2023-24) and $18.5 million (2024-25) were fully granted. (The Columbian) State Superintendent Chris Reykdal denied a request to reconsider. (The Columbian)

That denial forced the board's hand. On December 10, 2025, directors approved borrowing from the **Clark County Treasurer's Office through interest-bearing registered warrants**, (The Columbian) essentially short-term loans ranging from $6 million to $16.5 million per month, each repaid before the next issuance. (The Columbian) Clark County Treasurer **Alishia Topper** reluctantly agreed to issue warrants but delivered a pointed warning: "County treasurers are not designed to provide long, ongoing operating loans to school districts. That is the responsibility of the state." (The Columbian) She also acknowledged that "the district's decisions have also contributed to the situation." (The Columbian) No public reporting has surfaced since December 2025 on whether warrants have actually been drawn or repaid.

Interim Superintendent Brett Blechschmidt attributed the crisis to five structural forces: a recurring revenue-expenditure gap, enrollment declines since 2018, rising staffing costs, a cumulative (The Columbian) **$31.4 million special education deficit** over five years, and materials and operating cost inflation outpacing state funding adjustments. (The Columbian) More than **85% of VPS's budget goes to staffing**, (Vancouver Public Schools) leaving little room for non-personnel cuts. The district also announced the **closure of Vancouver Flex Academy**

The Columbian at the end of 2025-26 The Columbian as part of an effort to cut up to $21 million. The Columbian KOIN.com

A new financial blow landed on March 9, 2026, when VPS disclosed **$4.8 million in settlements** The Columbian resolving two sexual abuse lawsuits filed by former students of Hudson's Bay High School teacher Shadbreon Gatson, arrested in December 2024. The Columbian The settlement's impact on the already strained budget has not yet been publicly detailed.

OSPI has warned VPS twice but formal oversight has not materialized

VPS has received OSPI financial health warnings for two consecutive years. The district scored **1.90 in 2022-23** The Columbian (its first warning in over a decade) The Columbian and fell to **1.50 in 2023-24**, The Columbian The Columbian well below the 1.75 threshold. VPS remains the only Clark County district under financial warning. ZoomInfo +3

Yet VPS has **not been placed under binding conditions or enhanced financial oversight** — a more severe intervention that OSPI has applied to districts like Marysville (which received a special administrator in September 2024), OSPI Bellevue, Mount Baker, Tukwila, and Yelm. Swweducation A critical factor appears to be **ESSB 5293's emergency rule** (WAC 392-123-060), which exempts school districts from binding conditions for 2024-25 and 2025-26 when interfund loan proceeds balance deficit fund balances. This exemption, designed to address post-COVID budget destabilization, OSPI may be functionally shielding VPS from formal state takeover.

OSPI has also signaled institutional concern through a legislative budget request for "Proactive and Solutions-Oriented Support for School District Financial Health," OSPI OSPI suggesting the agency wants more resources to intervene in distressed districts before insolvency. OSPI If VPS cannot produce a balanced 2026-27 budget, it may face binding conditions once the temporary exemption expires. A community letter published on ClarkCountyToday.com warned that without full state funding, the district "will be required to reduce our employment and accept operational 'guidance' from OSPI." ClarkCountyToday Vancouver Public Schools

Compounding the state-level risk, proposed **federal budget cuts threaten an additional ~$3.5 million** in VPS funding. The Columbian OSPI's interactive map projects losses of approximately $158 per student if Title I, II, III, and IV programs face the proposed 70% consolidation cuts. Vancouver Public Schools

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Legislative relief: meaningful but insufficient to close the gap

Two significant bills signed into law in 2025 provide partial relief. **SB 5263**, signed May 19, 2025, eliminates the long-standing **16% enrollment cap on special education funding** Washington State Register — a provision that had forced districts to absorb costs for every student above that threshold out of general funds. The bill passed both chambers unanimously (48-0 Senate, 97-0 House) FastDemocracy and is projected to distribute **$750–** Sen. Noel Frame **870 million** statewide over two budget cycles. For VPS specifically, officials estimated an

additional **~$850,000 in annual state special education funding** — a meaningful but modest dent in a district that spends roughly $5 million in local levy dollars annually on state-mandated special education services. ClarkCountyToday

ESHB 2049 (levy authority expansion), also signed into law, increases the maximum per-pupil enrichment levy limit by **$500 in calendar year 2026** and adds incremental inflation adjustments through 2030. Researchcouncil It also includes **$200 million in additional levy equalization** WEA over the 2025-27 biennium. However, VPS's current education and operations levy (approved February 2023 at $1.99 per $1,000) Vancouver Public Schools runs through 2027 — the district would need to pass a new replacement levy to capture the expanded authority. A separate six-year capital levy Vancouver Public Schools passed narrowly in February 2025 with 52% approval. The Columbian ClarkCountyToday

The 2025 legislative session also produced a **$4.4 billion revenue package** WEA (including B&O tax adjustments and capital gains/estate tax increases), but the direct impact on VPS's near-term budget gap remains limited given the structural mismatch between state funding formulas and district costs.

A new superintendent walks into a fiscal firestorm

On January 22, 2026, the board named **Dr. Ricardo "Rocky" Torres-Morales** as VPS's next superintendent. ClarkCountyToday Vancouver Public Schools Torres-Morales, currently associate superintendent at Seattle Public Schools, was selected from a pool of 40 applicants KBND Vancouver Public Schools after a search led by Ray and Associates. The Columbian The board approved his **three-year contract on February 11, 2026** with a **$305,000 annual base salary**, 7% retirement contribution, $600 monthly travel allowance, and up to $7,000 in relocation expenses. The Columbian He begins July 1, 2026. The Columbian

Torres-Morales brings a distinctive profile to VPS. He started as a **bilingual special education teacher** in New York City, Vancouver Public Schools +2 holds a **Ph.D. in Urban Education** from Cleveland State University, KGM and is fluent in Spanish with working French proficiency. The Columbian Vancouver Public Schools His career spans the NYC Department of Education, Cleveland Metropolitan School District, and Seattle Public Schools. KGM +3 Board Chair Wendy Smith said the board is "confident he embodies the qualities the community identified as priorities." The Columbian

He replaces Interim Superintendent Brett Blechschmidt, the district's former CFO who stepped in after **Jeff Snell departed** The Columbian **in June 2025** to lead the Washington Association of School Administrators. The Columbian The Columbian Blechschmidt agreed from the outset he would not seek the permanent role. The Columbian Torres-Morales's immediate challenge will be producing a viable 2026-27 budget that addresses the $20.15 million shortfall The Columbian while managing enrollment declines, potential federal funding losses, and community expectations.

Federal investigations and campus safety crises compound the pressure

The **U.S. Department of Education's Office for Civil Rights (OCR) opened a Title IX investigation** into VPS on January 14, 2026, OPB alleging the district "discriminate[s] on the basis of sex by permitting students to participate in sports based on their 'gender identity,' not biological sex." OPB +2 The specific allegation centers on VPS allowing a **transgender girl to participate on a girls' bowling team**. Washington State Standard VPS is one of 18 entities OPB across 10 states under investigation, and one of four Washington districts targeted (alongside Cheney, Sultan, and Tacoma). KUOW The Columbian OCR requested documentation by January 29, 2026. KUOW VPS spokesperson Jessica Roberts confirmed the district is "reviewing the allegations" but cannot comment while the investigation is pending. OPB The Columbian Federal funding could be at risk if a violation is found. OPB As of March 10, 2026, **no public update on the investigation's progress has emerged**.

Separately, on **March 4, 2026, approximately half of Fort Vancouver High School's teachers walked out** of a staff meeting over safety concerns tied to an anonymous Instagram account that posted **AI-generated images** of staff members in threatening or sexualized contexts, including one superimposing a teacher's face with those of Jeffrey Epstein and Adolf Hitler. The Columbian Teachers stated that "the lack of appropriate action from either school or district administration in unsafe situations…make us feel unsafe in this school." KNKX KGM Vancouver police deployed to campus but found "no known threat." KGM The Columbian VEA President Jamie Anderson said the walkout was not an authorized union action but that teachers had the union's "full support." KNKX

Unions, students, and parents are organizing on multiple fronts

Union-district relations have been tense since at least mid-2025. **VAESP** (representing 800+ classified employees) KGM Washington State Standard authorized a strike on September 11, 2025, before reaching a tentative agreement five days later. OPB **VEA** filed a formal grievance in June 2025 alleging "secret" staffing cuts The Columbian of 20+ certificated positions without public board action. VEA currently operates under a three-year contract (2024-27) ratified in August 2024.

Student activism has been notably visible. On **December 18, 2025**, Flex Academy students staged a walkout and marched to district headquarters to protest the school's closure. Parents followed with testimony at board meetings and letters to The Columbian, arguing The Columbian the closure "disproportionately impacts students on the autism spectrum." On **January 13, 2026**, hundreds of students across multiple VPS high schools walked out to protest ICE activities, The Columbian with organizers planning to attend the school board meeting that evening. Board member Sandra Zavala-Ortega OPB reported approximately **86 Vancouver families** have been disrupted by federal immigration enforcement. The Columbian

The Columbian's editorial board weighed in on February 12, 2026, with a piece titled "Schools hindered by inequitable funding model," framing VPS's crisis alongside Battle Ground's third consecutive failed levy The Columbian and Evergreen's parallel struggles The Columbian as symptoms of a systemic statewide problem.

Board members and county officials have publicly urged constituents to contact state legislators about school funding. The Columbian

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What reporting exists and where the gaps remain

The Columbian remains the dominant source of VPS coverage, with reporter Brianna Murschel providing detailed fiscal reporting. Key stories span from the $35 million cuts (March 2024) The Columbian The Columbian through the registered warrants approval (December 2025), The Columbian superintendent hiring (January-February 2026), and the $4.8 million settlement (March 2026). The Columbian **OPB** has covered the Title IX investigation, OPB VAESP strike authorization, and Fort Vancouver teacher walkout but has not published a dedicated investigation of VPS's fiscal crisis. **InvestigateWest** has covered VPS on teacher misconduct and student restraints InvestigateWest but has not reported on the budget shortfall or contractor spending. **KUOW, Seattle Times, and Washington State Standard** have provided minimal or no original 2026 VPS reporting.

Notable gaps in public reporting include the **Amergis/Maxim Healthcare staffing relationship**. While Amergis (rebranded from Maxim Healthcare Staffing Indeed in April 2024) has active job postings for school positions in Vancouver Amergis Amergis at rates of $22-30/hour, Jobget **no investigative reporting has quantified VPS's total spending on staffing agencies**. This would likely require public records requests for vendor payment data. Similarly, there has been no post-December 2025 reporting on whether registered warrants have been drawn, and no public update on the Title IX investigation's progress.

Conclusion

Vancouver Public Schools enters the final months of its 2025-26 fiscal year in the most precarious financial position in its recent history, with reserves effectively at zero, Vancouver Public Schools a $20.15 million gap looming for next year, The Columbian The Columbian and an emergency borrowing arrangement from the county treasurer that its own lender describes as unsustainable. The Columbian The temporary OSPI exemption from binding conditions may be the single most consequential — and least publicly discussed — factor preventing a formal state intervention. When that exemption expires and Torres-Morales takes the helm in July, the district will face an inflection point: produce a credible balanced budget or likely enter state oversight. The passage of SB 5263 and ESHB 2049 represents genuine legislative progress on structural underfunding, but the roughly $850,000 in additional special education revenue is a fraction of what VPS needs. ClarkCountyToday Meanwhile, the $4.8 million abuse settlement, potential federal funding losses, and unresolved Title IX investigation add further uncertainty. The district's path forward depends on whether 2026-27 budget deliberations — already underway per the March board study session — can bridge the gap between structural costs and available revenue without triggering the kind of deep cuts that destabilized the district in 2024. The Columbian